

8-4 Allowance Method for Uncollectible Accounts

The allowance method estimates the uncollectible accounts receivable at the end of the accounting period. Based on this estimate of expected credit losses, Bad Debt Expense is recorded by an adjusting entry.

Objective 4 - Describe the allowance method of accounting for uncollectible receivables.

To illustrate, assume that **ExTone Company** began operations August 1, 20Y1. As of the end of its accounting period on December 31, ExTone has an accounts receivable balance of \$200,000. This balance includes some past due accounts. ExTone estimates that \$30,000 of the December 31, 20Y1, accounts receivable will be uncollectible. However, on December 31, 20Y1, ExTone doesn't know which customer accounts will be uncollectible. Thus, specific customer accounts cannot be decreased or credited. Instead, a contra asset account,

Allowance for Doubtful Accounts (A contra asset account for accounts receivable in which is recorded the estimate for uncollectible accounts when using the allowance method.)

, is credited for the estimated bad debts.

Using the \$30,000 estimate, the following adjusting entry is made on December 31, 20Y1:

20Y1 Dec. 31		Bad Debt Expense		30,000	
		Allowance for Doubtful Accounts			30,000
		Uncollectible accounts estimate.			
		Assets	=	Liabilities	+ Stockholders' Equity
		Allowance for Doubtful Accounts			Bad Debt Expense
		30,000			30,000

The preceding adjusting entry affects the income statement and balance sheet. On the income statement, the \$30,000 of Bad Debt Expense will be matched against the related revenues of the period. On the balance sheet, the value of the receivables is reduced to the amount that is expected to be collected or realized. This amount, \$170,000 (\$200,000 – \$30,000), is called the **net realizable value** of the receivables.

Note

The adjusting entry reduces receivables to their net realizable value and matches the uncollectible expense with revenues.

After the preceding adjusting entry is recorded, Accounts Receivable still has a debit balance of \$200,000. This balance is the total amount owed by customers on account on December 31, 20Y1, as supported by the accounts receivable subsidiary ledger. The accounts receivable contra account, Allowance for Doubtful Accounts, has a credit balance of \$30,000.

Chapter 8: Receivables: 8-4 Allowance Method for Uncollectible Accounts

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